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cc: JG/AV

m.k.

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BARLOW HOLLEY
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September 30, 2025

VIA HAND DELIVERY
Ms. Krys Abel
Records Division
Louisiana Public Service Commission
602 North 5th Street, 12th Floor
Baton Rouge, LA 70802

Re: LPSC Docket No. U-37483; Beauregard Electric Cooperative, Inc., *ex parte, In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.*

Dear Ms. Abel:

Enclosed for filing in the above referenced docket, please find Rebuttal Testimonies of Mr. Justin Proctor and Mr. Michael Viator on behalf of Beauregard Electric Cooperative, Inc.

If any additional information is needed, please feel free to contact me. Thank you and with kindest regards,

Sincerely,

Kara B. Kantrow

Enclosures: as stated
cc: Service List (via email)

Hand

LA PUBLIC SERVICE COMM
SEP 30 2025 AM09:54

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

BEAUREGARD ELECTRIC COOPERATIVE, INC., EX PARTE

DOCKET NO. U-37483

In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

REBUTTAL TESTIMONY

of

Mr. Michael Viator

on behalf of

BEAUREGARD ELECTRIC COOPERATIVE, INC.

September 2025

INTRODUCTION

Q. ARE YOU THE SAME MICHAEL VIATOR WHO PREVIOUSLY SUBMITTED DIRECT TESTIMONY IN SUPPORT OF BEAUREGARD ELECTRIC COOPERATIVE, INC.'S ("BECi" OR "COOPERATIVE") APPLICATION IN THIS PROCEEDING?

A. Yes, I am. I adopt and incorporate my Direct Testimony in full as if set forth herein. My opinions, analyses, and recommendations remain unchanged except as clarified or supplemented by this Rebuttal Testimony, which reflects and supports the September 25, 2025 Agreed Term Sheet entered by Louisiana Public Service Commission ("LPSC" or "Commission") Staff and the Cooperative (the "Agreed Term Sheet"), which is attached hereto as Exhibit "A."

Q. ON WHOSE BEHALF ARE YOU FILING THIS REBUTTAL TESTIMONY?

A. I am filing this Rebuttal Testimony on behalf of BECi.

Q. WHAT IS THE PURPOSE OF YOUR REBUTTAL TESTIMONY?

A. The purpose of my rebuttal testimony is to provide executive-level support for the September 25, 2025 Agreed Term Sheet, explain its benefits for BECi members and the Commission, and respond to Intervenor Brian R. Zelenak's allegations .

SUPPORT FOR AGREED TERM SHEET

Q. HAVE BECI AND LPSC STAFF REACHED AGREEMENT ON THE MAJOR ISSUES IN THIS CASE?

A. Yes, they have. On September 25, 2025, BECi and Staff entered into the Agreed Term Sheet (Exhibit "A"), which comprehensively resolves all issues in this docket.

Q. DID YOU READ AND REVIEW THE AGREED TERM SHEET?

A. Yes, I did.

Q. CAN YOU PROVIDE A GENERAL OVERVIEW OF THE AGREED TERM SHEET BETWEEN BECI AND STAFF?

A. Yes. The Agreed Term Sheet is a comprehensive settlement that resolves all outstanding issues in this docket. It authorizes a base rate adjustment sufficient to achieve a Modified Debt Service Coverage ("MDSC") ratio of 1.80, which equates to approximately $7.75 million in additional annual revenues. It allocates roughly $1 million of that revenue specifically to Ordinary Replacement projects in BECi's capital plan, including vegetation management and storm hardening initiatives, with annual reporting obligations to the Commission. The Agreed Term Sheet reestablishes a three-year Formula rate Plan ("FRP") with filings in 2027, 2028, and 2029 for test years 2026, 2027, and 2028, and provides that FRP rate adjustments take effect with the first billing cycle of December following each filing. The FRP maintains a 1.70–1.90 MDSC bandwidth with automatic rate resets to the 1.80 midpoint reset when results fall outside the bandwidth. In addition, the Agreed Term Sheet also adopts Staff's adjustments to test-year expenses, approves the Industrial Cost-Plus rate design, and declines to establish an emergency reserve fund at this time.. Together, these provisions provide transparency, regulatory oversight, and fair cost recovery while strengthening BECi's financial stability and ability to invest in critical reliability improvements.

Q. PLEASE EXPLAIN WHY YOU SUPPORT THE AGREED TERM SHEET.

A. The Agreed Term Sheet represents a balanced and constructive resolution. It authorizes BECi to implement a base rate adjustment sufficient to achieve a Modified Debt Service

Coverage ("MDSC") ratio of 1.80, resulting in approximately $7.75 million in additional annual revenues. This ensures BECi's financial integrity, preserves its ability to meet lender requirements, and funds critical system investments. Approximately $1 million of the revenues are specifically dedicated to Ordinary Replacement in BECi's Capital Work Plan, including vegetation management (trimming, dead tree removal) and storm hardening (infrastructure resilience improvements). These targeted efforts will directly improve service reliability and reduce the duration and frequency of outages for our members.

Q. HOW DO THE TERMS OF THE AGREED TERM SHEET BENEFIT MEMBERS?

A. Members benefit in several important ways:

- **Reliability:** Targeted funding for vegetation management and storm hardening will mitigate storm impacts and enhance grid resilience.
- **Transparency:** BECi will submit annual reports to Staff with detailed accounting of these expenditures, reinforcing accountability.
- **Regulatory Certainty:** The three-year Formula Rate Plan ("FRP") provides a predictable framework for setting rates, minimizing regulatory uncertainty.
- **Equitable Rates:** The agreement incorporates Staff's adjustments to test year expenses and approves rate designs that better reflect cost causation, creating fairer cost recovery across all member classes.

Q. DO YOU BELIEVE THE AGREED TERM SHEET IS IN THE PUBLIC INTEREST?

A. Yes. This agreement protects the financial health of the Cooperative while holding management accountable to its members and to the Commission. It balances affordability with the need to maintain service quality, making it the best path forward for all stakeholders.

Q. SOME MEMBERS HAVE EXPRESSED CONCERN ABOUT RATE INCREASES. HOW DO YOU RESPOND?

A. We understand and respect those concerns. Nobody welcomes a rate increase. However, this adjustment is necessary to maintain safe, reliable electric service and to fund the infrastructure investments that keep outages limited and response times short. The rate increase has been minimized through negotiations with Staff, and approximately $1 million is specifically dedicated to vegetation management and storm hardening, which directly benefit members by improving reliability and reducing future costs.

Q. DOES THE AGREED TERM SHEET FACILITATE A RESOLUTION OF ALL ISSUES IN THIS MATTER?

A. Yes, it does.

Q. WHAT ACTION DO YOU RECOMMEND THAT THE COMMISSION TAKE?

A. I respectfully urge the Commission to approve the Agreed Term Sheet in its entirety and to adopt a final order consistent with its terms. This outcome will ensure just and reasonable rates, improve system reliability, and provide regulatory certainty for both BECi and its members.

Q. WHY IS THIS AGREEMENT IMPORTANT FOR BECI AND THE COMMISSION?

A. This settlement represents a collaborative resolution between BECi and Staff that avoids protracted litigation, reduces regulatory uncertainty, and provides members with immediate rate stability. It demonstrates that BECI and Staff worked together to balance affordability, reliability, and financial integrity.

RESPONSE TO INTERVENOR'S ALLEGATIONS

Q. DID YOU READ MR. BRIAN R. ZELENAK'S PETITION FOR INTERVENTION FAX FILED ON FEBRUARY 3, 2025?

A. Yes, I did.

Q. DID YOU READ MR. ZELENAK'S INITIAL AND SUPPLEMENTAL RESPONSES TO BECI'S FIRST SET OF DATA REQUESTS TO BRIAN R. ZELENAK?

A. Yes, I did.

Q. DID YOU REVIEW THE EXHIBITS ATTACHED TO MR. ZELENAK'S RESPONSES TO BECI'S FIRST SET OF DATA REQUESTS TO BRIAN R. ZELENAK?

A. Yes, I did.

Q. TO YOUR KNOWLEDGE, DO ANY OF THE ALLEGATIONS MADE BY MR. ZELENAK IN THIS PROCEEDING HAVE ANY MERIT?

A. No. Mr. Zelenak's allegations are unsubstantiated and outside the scope of this proceeding. His filings contain public records and self-prepared materials that do not demonstrate any wrongdoing, theft, or wasteful spending. Moreover, certain matters he raises are currently the subject of separate federal proceedings and should not be conflated with this Commission docket.

Q. DID STAFF TAKE ANY POSITION ON MR. ZELENAK'S CLAIMS?

A. No. As noted in Staff's Cross-Answering Testimony, because Mr. Zelenak did not submit any testimony in this matter, Staff was unable to evaluate or respond to the allegations.

Q. WHAT STEPS HAS BECI TAKEN TO ENSURE PROPER MANAGEMENT AND MEMBER ACCOUNTABILITY?

A. Since I assumed the role of GM/CEO, I have implemented enhanced internal controls, reviewed and updated key policies, and worked closely with the Board to ensure

transparency and compliance. The annual reporting commitments in the Agreed Term Sheet further reinforce BECi's accountability to both Staff and its members.

Q. MR. ZELENAK ASSERTS THAT BECI HAS SOME OF THE "WORST RELIABILITY" IN THE STATE. HOW DO YOU RESPOND (P. 2 OF ZELENAK INTERVENTION)?

A. BECi acknowledges that our SAIDI and SAIFI scores in recent years have not met desired benchmarks. Several factors contribute to these results, including the Cooperative's heavily wooded service territory, aging distribution infrastructure, and the frequency of severe weather events in Southwest Louisiana. The Agreed Term Sheet directly addresses these challenges by dedicating approximately $1 million annually to vegetation management (servitude trimming, dead tree removal) and storm-hardening investments. These targeted funds are not just expenditures, they are part of a measurable plan to improve reliability indices over time. In addition, BECi has committed to annual reporting to Commission Staff that will document capital spending, miles of right-of-way cleared, and a narrative assessment of the reliability impact of those activities. This creates a transparent feedback loop, allowing the Commission and members to see year-over-year improvement. Our objective is to use this additional revenue to bring SAIDI and SAIFI performance in line with or better than state averages, and to provide members with shorter outage durations and fewer service interruptions in the future.

Q. HOW DO YOU RESPOND TO MR. ZELENAK'S CLAIM THAT BECI'S RATES SHOULD BE LOWERED?

A. Even Staff's independent analysis shows that BECi's financial condition requires a rate increase to meet the bare minimum coverage ratios and maintain safe, reliable service. Lowering rates would exacerbate financial instability and threaten service quality.

CONCLUSION

Q. WHAT IS YOUR OVERALL RECOMMENDATION TO THE COMMISSION?

A. I recommend that the Commission approve the Agreed Term Sheet in its entirety. This will allow BECi to implement fair and reasonable rates, address pressing infrastructure needs, and continue providing safe, reliable, and cost-effective service to our members.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes, at this time. I reserve the right to supplement or amend my testimony as may be needed in the future.

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

BEAUREGARD ELECTRIC COOPERATIVE, INC., EX PARTE

DOCKET NO. U-37483

In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

AFFIDAVIT

STATE OF LOUISIANA
PARISH OF Beauregard

BEFORE ME, the undersigned notary public, duly qualified and commissioned in and for the State and Parish aforesaid, personally came and appeared MICHAEL VIATOR ("Affiant"), the General Manager and CEO for BEAUREGARD ELECTRIC COOPERATIVE, INC., who, after being duly sworn, did depose and say that Affiant has reviewed the foregoing Rebuttal Testimony and that the said testimony is true and accurate to the best of Affiant's knowledge, information, and belief.

FURTHER AFFIANT SAYETH NAUGHT.

AFFIANT

SWORN TO AND SUBSCRIBED before me this 29th day of September, 2025.

NOTARY PUBLIC

TINA HARMON
NOTARY PUBLIC
Notary ID No. 194116
Beauregard Parish, Louisiana

Printed Name: Tina Harmon

Bar Roll/Notary No.: 194116

My commission expires: At Death.

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

BEAUREGARD ELECTRIC COOPERATIVE INC., EX PARTE **DOCKET NO. U-37483**

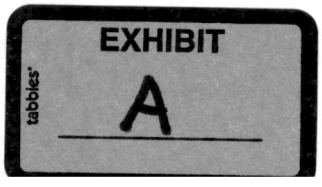
In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

AGREED TERM SHEET

The Louisiana Public Service Commission ("Commission") Staff ("Staff") and Beauregard Electric Cooperative, Inc. ("BECi" or "Cooperative") (collectively, the "Parties") hereby agree to the following terms to facilitate a resolution of this matter:

TERMS

1. BECi shall be authorized to implement an increase in its base rates to achieve a revenue requirement resulting in a Modified Debt Service Coverage ("MDSC") ratio of 1.80, which equates to approximately $7,750,000.
2. BECi's incremental revenues in the approximate amount of $1,000,000 shall be allocated and dedicated to Ordinary Replacement within BECi's Capital Work Plan and, more particularly, vegetation management (utility servitude trimming, dead tree removal, etc.) and storm hardening measures (e.g., infrastructure resilience improvements). BECi shall submit to Staff annual reports detailing expenditures of such incremental revenues and miles of utility servitudes trimmed with the Cooperative's corresponding FRP annual report filing.
3. BECi shall not implement an emergency reserve fund as part of this proceeding.
4. BECi is authorized to reestablish a formula rate plan ("FRP"), as fully described in



BECi's FRP Rider. This FRP shall be for a three-year term, with FRP annual report filings in 2027, 2028, and 2029 for calendar test years 2026, 2027, and 2028.

a. BECi's FRP shall allow for FRP rate implementations resulting from FRP annual reviews on or after the first billing cycle of December of the filing year.

b. BECi's FRP shall provide that the Cooperative shall seek to earn a MDSC ratio of 1.80, with a bandwidth set to 1.70-1.90. If BECi's Calculated MDSC ratio falls either below 1.70 or above 1.90, rates shall be adjusted to meet a midpoint of 1.80. If the Calculated MDSC ratio falls within 1.70-1.90, there will be no change in rates.

c. BECi shall file with each FRP annual report an attachment showing BECi's capital spending during the test year which improved or otherwise impacted the Cooperative's reliability metrics, regardless of whether such capital spending is reflected on BECi's income statement or not. The following shall accompany this attachment:

    i. A narrative outlining and explaining such capital spending;

    ii. A plan for such capital spending for the Cooperative's next fiscal year; and

    iii. A review of such capital spending during the test year that evaluates whether such spending improved BECi's reliability metrics.

5. The Parties agree to those portions of the Staff Report and Recommendation pertaining to adjustments to test year expenses, implementation of a Power Cost Adjustment – Single Factor Rider, an Industrial Cost-Plus rate design, and the remaining system rate designs as filed.

6. BECi shall file into the record of this proceeding, along with a copy to the Commission's Utilities Division, a new or revised tariff reflecting the Commission's action within thirty (30) days of the issuance of an Order in this proceeding. All tariff filings shall be made in accordance with the Commission's General Order No. R-34738 dated July 1, 2019.
7. Upon satisfaction of the above condition(s) and approval of the tariff filing by Staff, new rates shall be deemed effective. Any new rates charged to members prior to satisfying the above condition(s) shall be considered a direct violation of the Commission's Order and subject to refund with interest.
8. This action is taken without prejudice to the Commission's authority to make investigations and require any reasonably necessary change that the Commission may legally find to be in the public interest.
9. Except as expressly stated herein, this Agreed Term Sheet has no precedential effect and shall be without prejudice to the right of any party to take any position in future proceedings. The provisions of this Agreed Term Sheet may not be used either as an admission of any sort or as evidence in any proceeding whatsoever, except to approve or enforce the terms hereof. All oral or written statements made during negotiations on this Agreed Term Sheet are governed by Louisiana Code of Evidence Article 408.
10. This Settlement shall in no way be considered or used as evidence or conclusory determination of any current or future LPSC reviews or audits.

IN WITNESS WHEREOF, on September 25, 2025, the Parties have executed this Agreed Term Sheet on the date set forth hereinabove.

[Signatures on following page]

MARIONNEAUX KANTROW, LLC



Kyle C. Marionneaux (Bar Roll No. 25785)
Kara B. Kantrow (Bar Roll No. 31042)
H. Barlow Holley (Bar Roll No. 38275)
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barlow@mklawla.com

Counsel for Beauregard Electric Cooperative, Inc.

AND



Arvind Viswanathan (Bar Roll No. 36066)
Staff Attorney
Louisiana Public Service Commission
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Counsel for Louisiana Public Service Commission Staff

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

BEAUREGARD ELECTRIC COOPERATIVE, INC., EX PARTE

DOCKET NO. U-37483

In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

REBUTTAL TESTIMONY

of

Mr. Justin Proctor

on behalf of

BEAUREGARD ELECTRIC COOPERATIVE, INC.

September 2025

INTRODUCTION

Q. ARE YOU THE SAME JUSTIN PROCTOR WHO PREVIOUSLY SUBMITTED DIRECT TESTIMONY IN SUPPORT OF BEAUREGARD ELECTRIC COOPERATIVE, INC.'S ("BECi" OR "COOPERATIVE") APPLICATION IN THIS PROCEEDING?

A. Yes, I am. I adopt that testimony here in full and incorporate its definitions and background by reference.

Q. ON WHOSE BEHALF ARE YOU FILING THIS REBUTTAL TESTIMONY?

A. I am filing this Rebuttal Testimony on behalf of BECi.

Q. WHAT IS THE PURPOSE OF YOUR REBUTTAL TESTIMONY?

A. The purpose of my rebuttal testimony is to support the September 25, 2025 Agreed Term Sheet between BECi and the Louisiana Public Service Commission ("Commission") Staff ("Staff"), which is attached hereto as Exhibit "A" and referred throughout as the "Agreed Term Sheet," and to respond to Intervenor Brain R. Zelenak's allegations in his Petition for Intervention and responses to data requests.

SUPPORT FOR AGREED TERM SHEET

Q. DID YOU REVIEW THE STAFF'S TESTIMONY AND RECOMMENDATION FILED WITH THE COMMISSION ON JULY 11, 2025 IN THIS PROCEEDING?

A. Yes. I reviewed the Direct Testimony of Thomas Broady along with the Audit Memorandum. Staff's analysis confirmed that BECi was significantly underperforming financially, with an MDSC ratio of 1.07, below the 1.35 minimum required by the Cooperative's lenders.

Q. HAVE BECI AND STAFF REACHED AGREEMENT ON THE MAJOR ISSUES IN THIS CASE?

A. Yes, they have. On September 25, 2025, BECi and Staff entered into the Agreed Term Sheet, which comprehensively resolves all issues in this docket.

Q. DID YOU READ AND REVIEW THE AGREED TERM SHEET?

A. Yes, I did.

Q. PLEASE SUMMARIZE THE TERMS OF THE AGREED TERM SHEET.

A. Under the Agreed Term Sheet:

- **Base Rate Increase:** BECi is authorized to implement an increase in base rates resulting in approximately $7,750,000 in additional annual revenues. The increase is sufficient to achieve a Modified Debt Service Coverage ("MDSC") ratio of 1.80.
- **Targeted Use of Revenues:** Approximately $1,000,000 of incremental revenue is allocated and dedicated to Ordinary Replacement projects in BECi's Capital Work Plan, with emphasis on vegetation management (utility servitude trimming, dead tree removal) and storm hardening initiatives.
    - **Annual Reporting:** BECi will submit annual reports to Staff detailing these expenditures, miles of servitudes trimmed, and capital spending impacts on reliability.
- **Formula Rate Plan (FRP):** BECi will reestablish a three-year FRP, with filings in 2027, 2028, and 2029 for calendar test years 2026, 2027, and 2028. FRP rates will be implemented starting with the first billing cycle each December.

- **FRP Bandwidth:** The FRP maintains an MDSC bandwidth of 1.70–1.90, with automatic adjustments to reset rates to the midpoint reset of 1.80 when results fall outside the bandwidth.
- **No Emergency Reserve Fund:** BECi will not establish an emergency reserve fund as part of this proceeding.
- **Staff Adjustments & Rate Design:** The agreement adopts Staff's adjustments to test year expenses and approves the Industrial Cost-Plus rate design and other filed system rate designs.

Q. DO YOU SUPPORT THE AGREED TERM SHEET BETWEEN BECI AND STAFF?

A. Yes, I do.

Q. DO YOU BELIEVE THAT THE AGREED TERM SHEET BETWEEN BECI AND STAFF IS IN THE PUBLIC INTEREST AND IN THE INTEREST OF THE COOPERATIVE AND ITS MEMBERS?

A. Yes, I do. The agreement strikes a reasonable balance: it enhances the Cooperative's financial stability and ability to fund critical reliability and safety initiatives, while addressing Staff's concerns about rate impacts. It promotes transparency through annual reporting and provides a framework for ongoing regulatory oversight.

Q. WHAT IS THE RATE IMPACT FOR A BECI RESIDENTIAL MEMBER UNDER THE AGREED UPON TERM SHEET??

A. The Settlement reduces the total proposed increase to the Residential class from 8.94% to 7.43%. The billing for a residential member using 1,326 kwh per month will be $157.73 compared to $146.92 in the Adjusted Test Year. The overall change in billing does not take into consideration the interim step previously approved by the Commission. i

Q. DOES THE AGREED TERM SHEET FACILITATE A RESOLUTION OF ALL ISSUES IN THIS MATTER?

A. Yes, it does.

Q. SHOULD THE COMMISSION ADOPT THE TERMS OF THE AGREED TERM SHEET?

A. Yes, that is my position, for the same reasons that I just explained.

RESPONSE TO INTERVENOR'S ALLEGATIONS

Q. DID YOU READ MR. BRIAN R. ZELENAK'S PETITION FOR INTERVENTION FAX FILED ON FEBRUARY 3, 2025?

A. Yes, I did.

Q. TO YOUR KNOWLEDGE, DO ANY OF THE ALLEGATIONS MADE BY MR. ZELENAK IN THIS PROCEEDING HAVE ANY MERIT?

A. No. Mr. Zelenak provided no testimony, cost-of-service analysis, or verifiable evidence challenging BECi's proposed revenue requirement, cost allocations, or rate design.

Q. DID YOU ALSO READ THE CROSS ANSWERING TESTIMONY OF THOMAS BROADY ON BEHALF OF STAFF?

A. Yes, I did.

Q. DID STAFF TAKE ANY POSITION ON MR. ZELENAK'S ALLEGATIONS?

A. No, Staff did not. In its Cross Answering Testimony, Staff stated that, "[a]s no intervenor submitted direct testimony, Staff [was] unable to determine any stance on that information or provide a response." (Cross Answering Testimony, p. 3, ll. 56-57.)

CONCLUSION

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes, at this time. For the reasons stated above, I respectfully recommend that the Commission approve the Agreed Term Sheet in its entirety and authorize BECi to implement the agreed rates and FRP framework Further, I reserve the right to supplement or amend my testimony as may be needed in the future.

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

BEAUREGARD ELECTRIC COOPERATIVE, INC., EX PARTE

DOCKET NO. U-37483

In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

AFFIDAVIT

STATE OF OK
PARISH OF OKC+Y

BEFORE ME, the undersigned notary public, duly qualified and commissioned in and for the State and Parish aforesaid, personally came and appeared JUSTIN PROCTOR ("Affiant"), a consultant for BEAUREGARD ELECTRIC COOPERATIVE, INC., who, after being duly sworn, did depose and say that Affiant has reviewed the foregoing Rebuttal Testimony and that the said testimony is true and accurate to the best of Affiant's knowledge, information, and belief.

FURTHER AFFIANT SAYETH NAUGHT.

Justin Proctor
AFFIANT

SWORN TO AND SUBSCRIBED before me this 29th day of September, 2025.

KATHLEEN TANKSLEY
NOTARY PUBLIC
COMM # 04000797
EXPIRES 1-28-2028
STATE OF OKLAHOMA

Kathleen Tanksley
NOTARY PUBLIC

Printed Name: Kathleen Tanksley

Bar Roll/Notary No.: #04000797

My commission expires: 1-28-28.

BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

BEAUREGARD ELECTRIC COOPERATIVE INC., EX PARTE **DOCKET NO. U-37483**

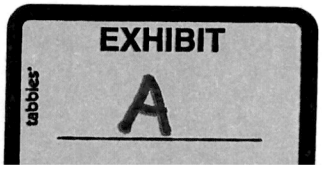
In re: Application for an increase in rates, approval of Formula Rate Plan, including modifications to standard Terms and Conditions, and for Interim Rate Relief.

AGREED TERM SHEET

The Louisiana Public Service Commission ("Commission") Staff ("Staff") and Beauregard Electric Cooperative, Inc. ("BECi" or "Cooperative") (collectively, the "Parties") hereby agree to the following terms to facilitate a resolution of this matter:

TERMS

1. BECi shall be authorized to implement an increase in its base rates to achieve a revenue requirement resulting in a Modified Debt Service Coverage ("MDSC") ratio of 1.80, which equates to approximately $7,750,000.
2. BECi's incremental revenues in the approximate amount of $1,000,000 shall be allocated and dedicated to Ordinary Replacement within BECi's Capital Work Plan and, more particularly, vegetation management (utility servitude trimming, dead tree removal, etc.) and storm hardening measures (e.g., infrastructure resilience improvements). BECi shall submit to Staff annual reports detailing expenditures of such incremental revenues and miles of utility servitudes trimmed with the Cooperative's corresponding FRP annual report filing.
3. BECi shall not implement an emergency reserve fund as part of this proceeding.
4. BECi is authorized to reestablish a formula rate plan ("FRP"), as fully described in



BECi's FRP Rider. This FRP shall be for a three-year term, with FRP annual report filings in 2027, 2028, and 2029 for calendar test years 2026, 2027, and 2028.

a. BECi's FRP shall allow for FRP rate implementations resulting from FRP annual reviews on or after the first billing cycle of December of the filing year.

b. BECi's FRP shall provide that the Cooperative shall seek to earn a MDSC ratio of 1.80, with a bandwidth set to 1.70-1.90. If BECi's Calculated MDSC ratio falls either below 1.70 or above 1.90, rates shall be adjusted to meet a midpoint of 1.80. If the Calculated MDSC ratio falls within 1.70-1.90, there will be no change in rates.

c. BECi shall file with each FRP annual report an attachment showing BECi's capital spending during the test year which improved or otherwise impacted the Cooperative's reliability metrics, regardless of whether such capital spending is reflected on BECi's income statement or not. The following shall accompany this attachment:

    i. A narrative outlining and explaining such capital spending;

    ii. A plan for such capital spending for the Cooperative's next fiscal year; and

    iii. A review of such capital spending during the test year that evaluates whether such spending improved BECi's reliability metrics.

5. The Parties agree to those portions of the Staff Report and Recommendation pertaining to adjustments to test year expenses, implementation of a Power Cost Adjustment – Single Factor Rider, an Industrial Cost-Plus rate design, and the remaining system rate designs as filed.

6. BECi shall file into the record of this proceeding, along with a copy to the Commission's Utilities Division, a new or revised tariff reflecting the Commission's action within thirty (30) days of the issuance of an Order in this proceeding. All tariff filings shall be made in accordance with the Commission's General Order No. R-34738 dated July 1, 2019.
7. Upon satisfaction of the above condition(s) and approval of the tariff filing by Staff, new rates shall be deemed effective. Any new rates charged to members prior to satisfying the above condition(s) shall be considered a direct violation of the Commission's Order and subject to refund with interest.
8. This action is taken without prejudice to the Commission's authority to make investigations and require any reasonably necessary change that the Commission may legally find to be in the public interest.
9. Except as expressly stated herein, this Agreed Term Sheet has no precedential effect and shall be without prejudice to the right of any party to take any position in future proceedings. The provisions of this Agreed Term Sheet may not be used either as an admission of any sort or as evidence in any proceeding whatsoever, except to approve or enforce the terms hereof. All oral or written statements made during negotiations on this Agreed Term Sheet are governed by Louisiana Code of Evidence Article 408.
10. This Settlement shall in no way be considered or used as evidence or conclusory determination of any current or future LPSC reviews or audits.

IN WITNESS WHEREOF, on September 25, 2025, the Parties have executed this Agreed Term Sheet on the date set forth hereinabove.

[Signatures on following page]

MARIONNEAUX KANTROW, LLC



Kyle C. Marionneaux (Bar Roll No. 25785)
Kara B. Kantrow (Bar Roll No. 31042)
H. Barlow Holley (Bar Roll No. 38275)
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barlow@mklawla.com

Counsel for Beauregard Electric Cooperative, Inc.

AND



Arvind Viswanathan (Bar Roll No. 36066)
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